

The scramble for filmed entertainment assets engendered by expanding distribution systems throughout the 1980s and early 1990s inspired us to take substantial and ultimately quite profitable positions in Warner Communications, MCA and Paramount prior to their acquisitions by Time Inc., Matsushita and Viacom, respectively.

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*Our investment methodology is not built upon accurately predicting interest-rate trends or timing the market, but rather on picking stocks, and many of our picks have fared quite well.*

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Catalysts can also be corporate restructurings. The recent trend to help realize shareholder value through the sale or spinoff of businesses has helped us earn good returns from "Humpty Dumpty" companies as all the king's horses and all the king's men help break conglomerates into pieces again. Among them have been Tenneco, American Brands, American Express, ITT and, now, AT&T.

Over the next five years, the most powerful trend we see is the explosive growth of the international marketplace for American goods and services. This traces its roots to two major catalysts: the rejuvenation of American industry spawned by a declining cost of capital and enormous productivity gains, and the victory of global capitalism symbolized best by the crumbling of the Berlin Wall. Good old-fashioned Yankee ingenuity has made us more than competitive with Japan and Germany. We are now in a terrific position to conquer new international economic frontiers.

With free-market economies evolving in China and the former Soviet bloc, and the middle classes rapidly expanding in developing nations in Latin America and the Pacific Rim, there will be 2.5 billion to three billion new consumers by the turn of the century. How is this emerging international middle class going to spend its money? If past is prologue—and